

General Type	PASSIVE		ACTIVE	
Risk Tolerance	Conservative	Moderate	Growth	Aggressive
Dominant Biases	Emotional	Cognitive	Cognitive	Emotional
BIT	Preserver	Follower	Independent	Accumulator
Biases	Status Quo	Regret	Conservatism	Affinity
	Endowment	Outcome	Availability	Overconfidence
	Loss Aversion	Cognitive Dissonance	Confirmation	Self-Control
	Mental Accounting	Hindsight	Representativeness	Illusion of Control
	Anchoring	Framing	Self-Attribution	
		Recency		

FIGURE 26.3 Biases Associated with each Behavioral Investor Type

is that active investors will rank medium-to-high for risk tolerance and that passive investors will rank moderate-to-low for risk tolerance (Figure 26.3). Naturally, this will not always be the case. With an unexpected outcome, the advisor should defer to risk tolerance in determining which biases to test for.

Step 3: Test for Behavioral Biases and Confirm Behavioral Investment Type (BIT). The third step is to test for and confirm that the client has certain behavioral biases. For instance, if an investor is passive, and the risk-tolerance questionnaire reveals a very low risk tolerance, the investor likely has the biases associated with a *preserver*. If the investor is passive and the questionnaire reveals a low-to-medium risk tolerance, the investor likely has the biases associated with a *follower*. If an investor is active and has a medium-to-high risk tolerance, the investor likely has the biases associated with an *individualist*. Finally, if an investor is active and has a high risk tolerance, the investor likely has the biases associated with an *accumulator*. When the client is tested for behavioral biases of a passive preserver, for example, and the test confirms that the client has these biases, then the BIT diagnosis is confirmed. Figure 26.3 provides an overview of the characteristics of each BIT and Figure 26.4 illustrates the entire diagnostic process.

Note that in the figure above clients at either end of the scale are emotionally biased in their behavior while clients in the middle are cognitively biased, which makes sense. Clients with a high need for security are